

Going Concern

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IAASB Meeting

December 5-9, 2022

Agenda Item 4

Agenda: Selected Topics on Going Concern and Outreach

Remaining Actions:

- Information from Sources External to the Entity
- Audit Techniques – Use of Technology
- Proposed conforming and consequential amendments

Changes to Proposed ISA 570 (Revised)

- Terminology
- Risk Identification and Assessment
- Management's Assessment of Going Concern
- Professional Skepticism
- Timeline
- Communication with TCWG
- Considerations Specific to Public Sector Entities
- Transparency About Going Concern in the Auditor's Report

Matter for the IAASB Consideration



Information from Sources External to the Entity

Paras. 16CA and A6B,
A7AA, A10C, A16D,
A17A–A17B, A18A–
A18B, A19–A19AA,
A35A

Question 1

The Board is asked for its views on the GC TF initial proposals for information from sources external to the entity discussed in paragraphs 10-16 of the Issues paper and as reflected in the relevant paragraphs included in **Agenda Item 4-A**.

Matter for the IAASB Consideration



Audit Techniques – Use of Technology

Paras. A3, A4DD,
A16BB, A16B, A16D

Question 2

The Board is asked for its views on the GC TF initial proposals for audit techniques – use of technology discussed in paragraphs 18-19 of the Issues paper and as reflected in the relevant paragraphs included in **Agenda Item 4-A**.

Matter for the IAASB Consideration



Terminology

Question 3

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for terminology.

Paras. 9A and A2C, A2D

Matter for the IAASB Consideration



Risk Identification and Assessment

Paras. 10A, 11B and
A3, A4B, A4D, A6A,
A6G–A6GG, A7C

Question 4

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for risk identification and assessment.

Matter for the IAASB Consideration



Management's Assessment of Going Concern

Paras. 12–12A, 16BB,
16D–16E and A9, A10A–
A10B, A16D, A16AA,
A16E, A19BB

Question 5

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for management's assessment of going concern.

Matter for the IAASB Consideration



Professional Skepticism

Paras. 17, 17A, 18A and
A10C, A22A –A22AA

Question 6

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for professional skepticism.

Matter for the IAASB Consideration



Timeline

Paras. 13A–13C, 14A–
14B, 15A and A11,
A13B–A13F, A15A–
A15C

Question 7

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for the timeline over which the going concern assessment is made.

Matter for the IAASB Consideration



Communication with TCWG

Paras. 25 and A36BB,
A36D

Question 8

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for communication to TCWG.

Matter for the IAASB Consideration



Considerations Specific to Public Sector Entities

Para. A25BB

Question 9

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for considerations specific to public sector entities.

Matter for the IAASB Consideration



Transparency About Going Concern in the Auditor's Report

Paras. 21A–21B, 22–23,
23AA, 23A and A25C –
A25D, A27A–A27H, A28,
A31–A33, A33AA,
A33A–A33B, Appendix
(illustrations 1–6)

Question 10

The Board is asked for its views on the GC TF proposed changes to the relevant paragraphs in **Agenda Item 4-A** for transparency about going concern in the auditor's report, including for the illustrative auditor's reports.

Matter for the IAASB Consideration



Proposed Conforming and Consequential Amendments

Agenda Item 4-B

Question 11

The Board is asked for its views on the proposed conforming and consequential amendments as presented in **Agenda Item 4-B**, including for the matters related to ISRE 2400 (Revised) discussed in paragraphs 69-73 of the Issues paper.

Way Forward

Monitoring jurisdictional developments, ongoing dialogue and engagement with others in the financial reporting ecosystem

Q1 2023:

- IAASB approval of exposure draft (March 2023)

Q3 2023:

- Comment period closes (August 2023)

Q4 2023 – Q1 2024:

- IAASB deliberation of responses to the exposure draft and resulting changes to proposed ISA 570 (Revised)

Q2 2024:

- IAASB approval of final revised standard (June 2024)



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